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The Cash Deluge: A CFO Briefing on the RBI Liquidity Trilemma

Case date: Friday, 2 October 2026. Written for business students and finance trainees who will brief a board before the Reserve Bank of India speaks. Every public figure in this case is taken from reporting available that morning. Where a number was not published, it is not invented.

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Philosophy of the desk: AI generates. Data informs. Finance measures. Accounting verifies. Human judgment decides.

How to use the hour. Read sections 1 to 4 before class. Exhibit 1 is the only table a student may cite as fact. Section 9 is a labelled illustration and must be marked as such if it is reused. The assignment in section 13 is the deliverable.

1. The decision the case actually asks

A student can memorise the policy repo rate and still mis-price a working-capital line. The gap that opened in September 2026 is a clean classroom for that mistake. Business Standard, carrying a Bloomberg report by Anup Roy, Subhadip Sircar and Bhaskar Dutta, wrote on 1 October 2026 that a record 133 billion dollar inflow from the Indian diaspora had left banks awash with cash and pushed overnight rates below the Reserve Bank's 5.25 per cent policy rate. Borrowing at the very short end was cheaper than policymakers intended. Credit growth was accelerating. Domestic demand was resilient. Inflation was picking up.

The same report said the Reserve Bank had already drained more than 1 trillion rupees, about 10.4 billion dollars, through bond sales and other measures, and that participants expected more. Calls for a hike at the coming meeting were growing. In the early hours of 2 October, a Business Standard poll said the Bank may raise the repo rate by 25 basis points in October, citing higher crude as an inflation risk and resilient growth as a reason the FY27 growth forecast might be revised up. A poll is not a vote of the Monetary Policy Committee.

The protagonist is not a fictional firm with invented revenue. The protagonist is the finance head who must brief a board. The question is narrow. If the firm has rupee working capital, a dollar or crude-linked payable book, and a borrowing plan for the second half, what changes before the statement, and what must not change until the statement exists?

Class rule. If a sentence cannot be traced to Exhibit 1 or to a named speaker in the sources, it does not enter the board note. The habit this case is trying to break is the fluent paragraph that sounds informed and cannot be audited.

2. How the cash arrived

Months earlier the central bank had worked to draw in dollars, bolster foreign-exchange reserves, and defend the rupee. The instrument named in the reporting is the Foreign Currency Non-Resident (Banks) deposit plan, FCNR(B). The inflow overshot the sketch markets had been using. Commercial banks swapped dollars for rupees with the Reserve Bank. In September, surplus banking-system liquidity swelled to as much as 11 trillion rupees, about 115 billion dollars. Reserves moved close to 800 billion dollars, described as the world's fourth largest.

Hold the two sides apart in class. The asset side is a reserves achievement. The operating side is a price. Overnight rates below 5.25 per cent are an easing the committee did not announce. That is what Sajjid Chinoy later called inadvertent monetary easing. Students who celebrate the reserve number and ignore the call rate have read half the balance sheet.

Citigroup economists including Samiran Chakraborty and Baqar Zaidi wrote that leaving the money unchecked could carry a credibility cost, impede transmission, and fuel mispricing of risk in asset markets. Citi expects the Bank to steer overnight rates toward the repo, mainly through short-term foreign-exchange swaps and other temporary drains. A note on 25 September saw up to 1 trillion rupees of bond sales as an additional option.

Deutsche Bank's Kaushik Das said a cash-reserve-ratio increase is a last resort if other tools fail. These are not synonyms. A swap is temporary. A bond sale takes duration out and meets the government's borrowing calendar. A CRR move is a blunt reserve requirement on every bank. A good answer ranks them. A weak answer lists them.

3. The hike debate, with the verbs left intact

Chinoy, chief India economist at JPMorgan Chase, told Bloomberg Television's Paul Allen on Thursday 1 October that it is important for the Reserve Bank to hike next week and to take a cautious or hawkish tone, so markets hear that more may be in the pipeline. He added that the Bank should keep absorbing liquidity so there is no inadvertent easing. That pair of sentences is the spine of the case. One is about the announced rate. One is about the operating rate. A board that hears only the word hike has missed the liquidity half.

Economists at Nomura, Deutsche Bank, and Australia and New Zealand Banking Group are among those predicting the first hike since early 2023 at the coming meeting. Some of those calls had sat on December and were brought forward. Abhishek Upadhyay, at ICICI Securities Primary Dealership, said the market is pricing four hikes over one year, against three at the end of June. Pricing is a distribution in yields. It is not a calendar the Reserve Bank has published.

The Business Standard poll updated at 12:17 a.m. on 2 October 2026 said the Bank may hike by 25 basis points in October. Teach the modal verb. May is not will. A CFO who rewrites the annual plan overnight on a poll has confused a headline with a resolution.

The honest sentence in a board paper is this. Serious desks have moved their call forward. The committee has not spoken. Here is what we do either way. Anything stronger is a forecast, and this desk is not publishing one.

4. Prices that have already printed

The bond market did not wait for the vote. Benchmark 10-year yields climbed nearly 20 basis points in September and on Thursday held at 7.18 per cent, near a two-year high. The government is preparing to borrow nearly 8 trillion rupees through March. A firm that needs term money in that window is bidding into the same calendar. Rising global yields were cited, with the hawkish turn, as a reason Indian yields moved and investors were unsettled.

On the currency, the rupee was little changed on Thursday at 95.8987 per dollar after the Reserve Bank sold more dollars. It was trading near levels seen before the FCNR(B) plan, despite those interventions. It was down more than 6 per cent year to date and remained one of the worst-performing Asian currencies, in the report's wording. Brent crude rose for a third month in September. Oil does two jobs here. It widens the import bill the rupee must finance, and it feeds the inflation argument the hikers are using.

Interventions that helped the cash drain also drove up the cost of guarding against future rupee weakness. That is a treasury fact. The hedge is more expensive in the same week the unhedged payable is more painful. A student who models only the spot move will miss the premium. Ask, in class, which of those two pains the firm can actually measure on Monday morning without a new forecast.

5. Exhibit 1 — the only citable table

Conversions to dollars are as given in the reporting. Do not add a CPI print, a Brent settlement, or a credit-growth percentage. They were not stated as numbers in the sources used here.

Item, public, 1–2 October 2026	Figure as reported
Diaspora / FCNR-related inflow	Record 133 billion dollars
Policy repo rate	5.25 per cent
Overnight rates	Pushed below the policy rate
September surplus liquidity, peak	As much as 11 trillion rupees (about 115 billion dollars)
Foreign-exchange reserves	Close to 800 billion dollars; fourth-largest as described
Liquidity already drained	More than 1 trillion rupees (about 10.4 billion dollars)
Citi bond-sale option, 25 Sept note	Up to 1 trillion rupees
10-year yield, Thursday	7.18 per cent; nearly 20 bp higher in September
Rupee, Thursday	95.8987 per dollar; down more than 6 per cent year to date
Centre borrowing through March	Nearly 8 trillion rupees
BS poll, 2 Oct, 12:17 a.m.	May hike repo 25 bp in October — expectation, not a decision

How to read the table aloud. Start with the inflow and the reserves, because that is the success the operation was built for. Move to the overnight rate against 5.25, because that is the cost of the success. Then the drain already done, so nobody claims the Bank has been passive. Then the two market prices a CFO can actually type into a model this morning: 7.18 and 95.8987. End on the poll, and say the word may.

Sources: Business Standard / Bloomberg, 1 October 2026, 11:10 a.m. IST; Business Standard poll updated 2 October 2026, 12:17 a.m. IST.

6. Transmission, in the language of a limit

Monetary transmission is often taught as a diagram from repo to lending rate. On a desk it is a question about which rate the facility actually uses. If the working-capital sanction resets off the policy repo, a sub-repo overnight print does not cheapen the coupon. The treasurer may still feel flush, because the call market is easy, and may be tempted to fund a gap there. That temptation is inadvertent easing, one firm at a time.

If the facility resets off a market overnight benchmark, the coupon may already be lower than the policy rate. Then a successful drain, even without a hike, raises the firm's cost back toward 5.25 per cent. The board note has to say which contract the firm holds. The case cannot know. The assignment is to force the sentence: our benchmark is X; a close of the overnight gap does Y to interest expense; a 25 basis point hike does Z.

Credit growth accelerating, as the 1 October report states, means the system is not starved. A drain is not a credit crunch by definition. It is an attempt to stop the operating rate from lying about the stance. Students who jump from liquidity absorption to a recession story are adding a chapter the sources do not contain. Mark that jump.

7. The trilemma, without the fog

R. Gurumurthy, a former regional director at the Reserve Bank, said the FCNR(B) experiment has brought the trilemma uncomfortably close to home. The impossible trinity is the constraint on managing capital flows and the currency while running an independent monetary policy. His practical question is the one to borrow: can the central bank use this liquidity moment to keep the government's borrowing programme orderly, even as pressure builds to raise rates?

Map the corners onto the desk. Inflows arrived, by design. The currency is still weaker on the year, so the exchange-rate corner was not fully held. The policy-rate corner is under argument, because the operating rate has already slipped. A firm does not vote. It lives in the corner that gives way.

If the currency gives way, payables and hedges move. If the rate gives way upward, floating debt and the hurdle rate move. If liquidity is drained without a hike, the short-end anomaly closes and some easy working-capital arithmetic disappears anyway. Gurumurthy's question about the sovereign calendar is also a question about corporate issuance. Nearly 8 trillion rupees of government borrowing through March is the supply the 10-year has to digest, at 7.18 per cent, after a backup of nearly 20 basis points. A private placement that assumed a calmer yield is now a relative-value decision against that supply.

8. Five moves for Monday

8.1 Separate the policy rate from the effective rate

Ask treasury for the last twenty sessions of the weighted average call rate against the repo, and against the firm's drawing cost. Name the gap in basis points. Do not assume the gap survives the week. The point of the table is to stop the board using 5.25 and the call rate as if they were the same number.

8.2 Reprice the hedge book, not the story

The rupee is already more than 6 per cent weaker year to date, and protection has become more expensive as the Bank sold dollars. List unhedged payables in crude-linked inputs and the tenor of existing hedges. A hedge that expires inside the policy week is a decision. A hedge designated against a different currency is not comfort.

8.3 Put 7.18 into any term borrowing through March

The sovereign supply is nearly 8 trillion rupees in that window. Waiting for easier yields is a position. If the desk still wants to wait, the note should say what yield would change the wait, and what happens to the project if the yield does not come.

8.4 Stress two paths only

Path A is the current effective rate. Path B is one step of 25 basis points, then a second step. Do not model four hikes as destiny. Upadhyay described market pricing. Chinoy described a case for a hike and a tone. The committee has not voted. Two paths are enough to see interest cover. A fan of eight paths is how a model hides the decision.

8.5 One page, then stop

Liquidity absorbed is not growth denied. The sentence to handle with care is Chinoy's: no inadvertent easing. Show where the plan assumed easy money that policy is trying to take back. Show headroom at Path B. Stop.

9. What accounting verifies

Finance can measure a gap. Accounting has to show it in books the board already trusts. Three checks belong with this case.

Interest accrual on floating rupee facilities should be recomputed off the contract benchmark, not off a treasury chat. If the contract resets off the policy rate, a sub-repo overnight print does not lower the coupon. If it resets off a market overnight rate, it might. The note names the benchmark.

Hedge documentation should be matched to the exposure that moved: the unhedged payable, the crude link, the tenor. Effectiveness is a test, not a mood. A hedge that was a conversation, and not a designation, is a disclosure problem before it is an economic problem.

Covenant headroom should be restated at Path B using the last audited numbers plus the current quarter's management accounts. A 25 basis point step rarely breaks a covenant alone. It changes the conversation if headroom was already thin because of a rupee translation loss on foreign-currency debt. The year-to-date move of more than 6 per cent is large enough to ask. It is not, by itself, any one firm's translation number. That number is internal. The case will not invent it.

A fourth check, for the tutorial rather than the board: does the management commentary in the last quarterly release still describe funding conditions as easy? If it does, the Monday note should flag the sentence that will need rewriting after the statement, so the next release does not fight the treasury report.

10. A worked sketch — illustration, not a fact

The following sketch is a teaching illustration. It is not a reported corporate result. It exists so students can see the order of magnitude of a 25 basis point step against a known public rate, and so they do not paste it into a live board pack as fact.

Take a rupee cash-credit limit of 100 crore, purely as a round teaching number, priced at the policy rate of 5.25 per cent. Annual interest at that rate is 5.25 crore. A 25 basis point step, if the contract resets off policy, adds 0.25 crore a year, about 2.1 lakh a month. A second step adds the same again. Against a limit of that size the rupee interest move is visible and usually manageable. It is not the whole risk.

Set beside it an unhedged imported input of 10 million dollars, again a teaching round number, not a reported exposure. A further 1 per cent move in the rupee, on a rate already near 95.90 and already down more than 6 per cent on the year, is about 1 million dollars of payable. At 95.90 that is roughly 9.6 crore rupees, before the hedge premium the 1 October report said has risen. On this illustration the currency corner dominates the rate corner.

That is why the Monday note leads with the unhedged payable if one exists, and with 7.18 per cent if the live decision is a refinancing. The illustration does not say every firm has a 10 million dollar bill. It says the board should be shown the larger exposure first. Label the box. Exhibit 1 remains the only citable public table.

11. What this case will not do

It will not predict the vote. Nomura, Deutsche Bank, ANZ and JPMorgan have published views. Citi has published a liquidity path. Business Standard has reported a poll. Future CFO_DP has not.

It will not invent a consumer-price print, a credit-growth percentage, or a Brent settlement the 1 October report did not state. The report said inflation is picking up, food costs and elevated oil are adding to pressures, credit growth is accelerating, and Brent rose for a third month in September. Those clauses are usable. A made-up inflation decimal is not.

It will not place the 133 billion dollars on a corporate balance sheet. That inflow is a banking-system and reserves fact. The corporate channel is indirect: the price of rupee liquidity, the price of the dollar, the price of the 10-year, and the cost of the hedge.

It will not treat other 1 October headlines — a bank leadership approval, a bond-index future, a tokenisation pilot — as the subject of this hour. They can be true and still be a different class. This class is the gap between 5.25 and the overnight rate, and what a finance head does with it before the statement.

12. After the statement, three lines

When the statement lands, three lines matter more than the adjective hawkish. First, the repo rate itself, against 5.25. Second, any line on liquidity absorption, standing facilities, or the operating target for overnight rates. A hike without a drain leaves Chinoy's second sentence unfinished. A drain without a hike can still close inadvertent easing. Third, the inflation and growth sentences, because the Business Standard poll had already floated an upward growth revision. The firm does not trade those sentences. It checks whether Path B is now Path A.

The single metric suggested for the first hour is the weighted average call rate against the new repo, not the headline alone. If the call rate is still well below the announced rate an hour after a hawkish statement, the transmission problem has not closed. If the call rate has snapped up and the rupee has not, the currency corner is the one that gave way today. That is a judgment. A model can plot it. It cannot choose the hedge.

13. Discussion

1. Why can overnight rates print below the policy rate when the committee has not cut? Which operation produced the rupees?
2. Rank FX swaps, bond sales, and a CRR increase by speed, bluntness, and the effect on the borrowing programme.
3. Could the committee hike without draining, or drain without hiking, and still close inadvertent easing?
4. Faced with 95.8987 and 7.18, which price leads the Monday note, and for which firm?
5. How does Upadhyay's four-hikes sentence appear in a board paper so it is not read as a plan?
6. Rewrite Gurumurthy's question as one an audit committee can ask.
7. In the section 10 illustration, why does the currency corner dominate, and what would reverse that ranking?
8. Name the decision the model cannot take.

14. Assignment and close

In 700 words, draft the one-page board note. Use only Exhibit 1 for public facts. You may use the section 10 illustration if you label it as illustration and do not present it as a reported result. State Path A and Path B. State what you will not do until the Monetary Policy Committee statement is public. End with the single metric you will watch in the first hour after the decision. A CPI figure, a market-index level, or a company name that is not in the sources will be marked down.

A shorter tutorial task: write the four-line caption Exhibit 1 would carry if it were a slide in the Monday pack. No adjective you cannot defend from the source paragraph.

On the morning of 2 October 2026 the public record supports a narrow claim. A record diaspora inflow of 133 billion dollars helped push reserves close to 800 billion dollars and surplus liquidity as high as 11 trillion rupees. Overnight rates slipped below a 5.25 per cent policy rate. The Bank had already drained more than 1 trillion rupees. The 10-year held at 7.18 per cent. The rupee held near 95.90 after intervention, down more than 6 per cent on the year. Serious desks are arguing for the first hike since early 2023. The committee has not spoken.

AI can assemble that record. Data informs the gap between the announced rate and the rate the market is trading. Finance measures what the gap does to a payable, a hedge, and a refinancing. Accounting verifies the accrual, the designation, and the headroom. Human judgment decides whether to draw, extend, or wait.

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Sources

Anup Roy, Subhadip Sircar and Bhaskar Dutta, *Business Standard / Bloomberg*, “India’s \$133 billion cash deluge puts RBI on a more hawkish policy path,” last updated 1 October 2026, 11:10 a.m. IST.

Business Standard, “Business Standard poll: RBI may hike repo rate by 25 bps in October meet,” updated 2 October 2026, 12:17 a.m. IST.

Named in that reporting: Sajjid Chinoy (JPMorgan); Abhishek Upadhyay (ICICI Securities Primary Dealership); Samiran Chakraborty and Baqar Zaidi (Citigroup); Kaushik Das (Deutsche Bank); R. Gurumurthy (former RBI regional director). Nomura, Deutsche Bank and ANZ named as desks predicting a hike next week.

Section 10 is a labelled teaching illustration. It is not a reported corporate exposure.